6	M A/c To Sales A/c (Goods sold on credit to M)	Dr.		40,000	 40,000
7	Bank A/c Discount allowed A/c To M A/c (Cheque received and discount allowed)	Dr. Dr.		39,000 1,000	 40,000
8	Y and Co. A/c To Purchases returns A/c (Goods returned to Y and Co.)	Dr.		4,000	 4,000
9	Cash A/c (20,000 × 0.9) Bad debts A/c To L A/c (Cash received from L in final settlement)	Dr. Dr.		18,000 2,000	 20,000
10	Sales returns A/c To M A/c (Goods returned by M)	Dr.		3,000	 3,000

Illustration 9

Valluvar is a sole trader dealing in textiles. From the following transactions, pass journal entries for the month of March, 2018.

March		₹
1	Commenced business with cash	90,000
	with goods	60,000
2	Purchased 20 readymade shirts from X and Co. on credit	10,000
3	Cash deposited into bank through Cash Deposit Machine	30,000
4	Purchased 10 readymade sarees from Y and Co. by cash	6,000
5	Paid X and Co. through NEFT	
6	Sold 5 sarees to A and Co. on credit	4,000
7	A and Co. deposited the amount due in Cash Deposit Machine	
8	Purchased 20 sarees from Z & Co. and paid through debit card	12,000
9	Stationery purchased for and paid through net banking	6,000
10	Bank charges levied	200

Solution

In the books of Valluvar
Journal entries

Date	Particulars	L.F.	Debit ₹	Credit ₹
2018				
March 1	Cash A/c Dr.		90,000	
	Stock A/c Dr.		60,000	
	To Valluvar's Capital A/c			1,50,000
	(Valluvar commenced business with cash and goods)			

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